

**In the Common Pleas Court  
of  
Knox County, Ohio**

FILED  
KNOX COUNTY  
COURT OF COMMON PLEAS  
2024 FEB 23 PM 2:12  
CHRISTY MILLIGAN STATON  
CLERK OF COURTS

**State of Ohio, ex rel,  
Dave Yost, Attorney General  
Plaintiff,**

**Case No. 20IN06-0149**

**vs.**

**Judge James L. Kimbler,  
By Assignment #22JA2185**

**The Landings Property  
Owners Association, Inc, et al,  
Defendants**

**Journal Entry**

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**Mullins Bros., LTD  
Third Party Plaintiff**

**vs**

**Carol A. Didinge, Trustee, et al  
Third Party Defendants**

The Defendants known as the "Long Defendants" and Mullins Bros. have filed motions for summary judgment. The State has filed a consolidated reply to all motions for summary judgment filed by the "Long Defendants" and Mullins Bros. The Court has started analyzing these pleadings and has encountered an issue that it believes needs to be addressed.

In February of last year, this Court filed a journal entry denying a motion for summary judgment that was filed by Mullin Bros. At the end of that journal entry, this Court set forth what issues it believe were raised by the motions for summary judgment and the evidentiary material that had been filed in either support of or opposition to the motion for summary judgment that had been filed by Mullin Bros. Those issues were set forth in paragraphs number 1 through 4 and they appear on pages 10 and 11 of that entry.

In particular this Court is concerned with the issue contained in the paragraph numbered 4 on page 11. That issue concerns what happened to the title to the property on which the dam and lake are located when the Articles of Incorporation for The Landings Owners Property Owners Association, Inc. were cancelled due to that non-profit corporation failure to file a Statement of Continued Existence with the Ohio Secretary of State.

This Court has done some research on this issue, but has concluded that before filing and journal or judgment entries regarding the motions for summary judgment it should give the attorneys who have either filed such motions or responded to such motions an opportunity to be heard on this issue.

This Court would note that it seems to the Court that all of the parties who have either filed motions for summary judgment or responded to such motions agree that the dam and the lake that are the subjects of this litigation are on parcels of land that were deeded to The Landings Property Owners Association by Mullins Bros. in a quit-claim deed that was filed with the County Recorder for Knox County.

The issue then becomes what happens to the title of those parcels when the Articles of Incorporation were cancelled by the Ohio Secretary of State? This Court would note that R.C. Chapter 1702 is a chapter which contains several provisions of the Ohio Revised Code that apply to non-profit corporations.

R.C. 1702.35 is entitled **Corporate Property** and reads as follows:

All property acquired by a corporation by purchase, gift, devise, bequest, or otherwise shall be the absolute property of the corporation, unless at the time of acquiring such property it is otherwise in writing specified.

Applying the above section to the facts in this case, it would seem that The Landings Property Association, Inc., became the owner of the parcels that were deeded to it by Mullins Bros. in the quit-claim deed. As mentioned above, it appears to this Court that none of the parties who filed memorandums either in support of or in opposition to the motions for summary judgment disagree with this conclusion.

R.C. 1702.49, which is entitled **Winding Up or Obtaining Reinstatement-Powers and Duties of Directors** concerns the powers of the directors of a corporation that has either dissolved voluntarily or “when the articles of corporation have been canceled”. That section reads as follows:

(A) When a corporation is dissolved voluntarily or when the articles of a corporation have been canceled or when the period of existence of a corporation specified in its articles has expired, the corporation shall cease to carry on its activities and shall do only such acts as are required to wind up its affairs, or to obtain reinstatement of the articles in accordance with section 1702.06, 1702.59, or 1724.06 of the Revised Code, or are permitted upon reinstatement by division (C) of section 1702.60 of the Revised Code, and for such purposes it shall continue as a corporation.

(B) Any claim existing or action or proceeding pending by or against the corporation or that would have accrued against it may be prosecuted to judgment, with right of appeal as in other cases, but any proceeding, execution, or process, or the satisfaction or performance of any order, judgment, or decree, may be stayed as provided in section 1702.50 of the Revised Code.

(C) Any process, notice, or demand against the corporation may be served by delivering a copy to an officer, director, liquidator, or person having charge of its assets or, if no such person can be found, to the statutory agent.

(D) The directors of the corporation and their survivors or successors shall act as a board of directors in accordance with the regulations and bylaws until the affairs of the corporation are completely wound up. Subject to the orders of courts of this state having jurisdiction over the corporation, the directors shall proceed as speedily as is practicable to a complete winding up of the affairs of the corporation and, to the extent necessary or expedient to that end, shall exercise all the authority of the corporation. Without limiting the generality of such authority, they may fill vacancies, elect officers, carry out contracts of the corporation, make new contracts, borrow money, mortgage or pledge the property of the corporation as security, sell its assets at public or private sale, make conveyances in the corporate name, lease real estate for any term, including ninety-nine years renewable forever, settle or compromise claims in favor of or against the corporation, employ one or more persons as liquidators to wind up the affairs of the corporation with such authority as the directors see fit to grant, cause the title to any of the assets of the corporation to be conveyed to such liquidators for that purpose, apply assets to the payment of obligations, perform all other acts necessary or expedient to the winding up of the affairs of the corporation, and, after paying or adequately providing for the payment of all known obligations of the corporation, distribute the remainder of the assets as follows:

(1) Assets held upon condition requiring return, transfer, or conveyance, which condition shall have occurred by reason of the dissolution or otherwise, shall be returned, transferred, or conveyed in accordance with such requirements;

(2) In the case of a public benefit corporation: (a) assets held by it in trust for specified purposes shall be applied so far as is feasible in accordance with the terms of the trust, (b) the remaining assets not held in trust shall be applied so far as is feasible towards carrying out the purposes stated in its articles, (c) in the event and to the extent that, in the judgment of the directors, it is not feasible to apply the assets as provided in above clauses (a) and (b), the assets shall be applied as may be directed by the court of common pleas of the county in this state in which the principal office of the corporation is located, in an action brought for that purpose by the corporation or by the directors or any thereof, to which action the attorney general of the state shall be a party, or in an action brought by the attorney general in a court of competent jurisdiction, or in an action brought as provided in section 1702.50 of the Revised Code for the purpose of winding up the affairs of the corporation under the supervision of the court;

(3) In the case of a mutual benefit corporation, any remaining assets shall be distributed in accordance with the applicable provisions of the articles or the

regulations or, to the extent that no such provision is made, the assets shall be distributed pursuant to a plan of distribution adopted by the voting members at a meeting held for the purpose of voting on dissolution, or any adjournment thereof, by the same affirmative vote as that required for the adoption of a resolution of dissolution. If no plan of distribution is so adopted by the voting members, then said remaining assets shall be distributed pursuant to a plan of distribution adopted by the directors. If no plan of distribution is so adopted by the voting members or directors, then the remaining assets shall be applied as may be directed by the court of common pleas of the county in this state in which the principal office of the corporation is located, in an action brought for that purpose by the mutual benefit corporation or by the directors or any thereof, or by the attorney general in a court of competent jurisdiction, or in an action brought as provided in section 1702.50 of the Revised Code for the purpose of winding up the affairs of the corporation under the supervision of the court.

(E) Without limiting the authority of the directors, any action within the purview of this section that is authorized or approved by the voting members at a meeting held for such purpose, by the same affirmative vote as that required for the adoption of a resolution of dissolution, shall be conclusive for all purposes upon all members of the corporation, except that nothing herein set forth shall impair the jurisdiction of courts of competent jurisdiction to enforce the duties of a public benefit corporation in respect of the application of its assets towards its public or charitable purposes, or impair the power of the state, acting through the attorney general, to require such assets to be applied, as nearly as may be, towards its public or charitable purposes.

(F) All deeds and other instruments of the corporation shall be in the name of the corporation and shall be executed, acknowledged, and delivered by the officers appointed by the directors.

(G) At any time during the winding up of its affairs, the corporation by its directors may make application to the court of common pleas of the county in this state in which the principal office of the corporation is located to have the winding up continued under supervision of the court, as provided in section 1702.50 of the Revised Code.

R.C. Section 1702.50 is entitled **Jurisdiction of Court Over Winding Up Affairs of Voluntarily Dissolved Corporation**, and reads as follows:

(A) Without limiting the generality of its authority, the court of common pleas of the county in this state in which is located the principal office of a voluntarily dissolved corporation or **of a corporation whose articles have been canceled** or whose period of existence has expired, upon the complaint of the corporation, a majority of the directors, or a creditor or member, and upon such notice to all the directors and such other persons interested as the court considers proper, at any time may order and adjudge in respect to the following matters:

(1) The presentation and proof of all claims and demands against the corporation and of all rights, interests, or liens in or on any of its property; the fixing of the time within which and the manner in which such proof shall be made and the person to whom such presentation shall be made; and the barring from participation in any distribution of assets of all persons failing to make and present proofs as required by the order of the court;

(2) The stay of the prosecution of any proceeding against the corporation or involving any of its property, and the requirement that the parties to it present and prove their claims, demands, rights, interests, or liens at the time and in the manner required of creditors or others; or the grant of leave to bring or maintain an independent proceeding to enforce liens;

(3) The settlement or determination of all claims of every nature against the corporation or any of its property; the determination of the assets required to be retained to pay or provide for the payment of such claims or any claim; the determination of the assets available for distribution among members and others; and the making of new parties to the proceeding so far as the court considers proper for the determination of all matters;

(4) The determination of the rights of members or others in and to the assets of the corporation;

(5) The presentation and the filing of intermediate and final accounts of the directors or of the liquidators and hearings on them; the allowance, disallowance, or settlement of such accounts; and the discharge of the directors, the liquidators, or any of them from their duties and liabilities;

(6) The appointment of a special master commissioner to hear and determine any such matters with such authority as the court considers proper;

(7) The filling of any vacancies in the number of directors or liquidators when the directors are unable to act on the vacancies for want of a quorum or for any other reason;

(8) The appointment of a receiver, in accordance with the usages of a court in equitable matters, to wind up the affairs of the corporation, to take custody of any of its property, or for any other purpose;

(9) The issuance or entry of any injunction or any other order that the court considers proper in the administration of the trust involved in the winding up of the affairs of the corporation and the giving of notice of it;

(10) The allowance and payment of compensation to the directors or any of them, to liquidators, to a receiver, to the attorney for the complainant, or to any person properly rendering services beneficial to the corporation or to those interested in it;

(11) The entry of a judgment or decree that, if it so provides, may operate as the deed or other instrument ordered to be executed, or the appointment of a master to execute such deed or instrument in the name of the corporation with the same effect as if executed by an authorized officer pursuant to authority conferred by the directors or the voting members of the corporation, whenever there is no officer or agent competent to execute such deed or instrument, whenever the corporation or its officers do not perform or comply with a judgment or decree of court, or whenever the court considers it proper.

(B) A judicial proceeding under this section concerning the winding up of the affairs of a corporation is a special proceeding, and final orders in the proceeding may be vacated, modified, or reversed on appeal pursuant to the Rules of Appellate Procedure and, to the extent not in conflict with those rules, Chapter 2505. of the Revised Code. (Emphasis added)

Although the parties seem to agree that the Articles of Incorporation of The Landings Property Owners Association, Inc., have been canceled, or, perhaps more accurately no party is arguing that they weren't canceled, this Court is not aware of any of the parties arguing as to what the effect of that cancellation was upon the issue of who owns the parcels of land on which the lake and dam are located.

Further, although an action could have been brought in the Knox County Common Pleas Court seeking a court order that could have arguably dealt with what happened to the assets of the Association upon its Articles being canceled, there is no evidence before the Court that such an action was brought.

This Court believes, as it believed over a year ago, that the issue of the ownership of the parcels of land on which the lake and dam are located are important to the resolution of this case. The issues that this Court sees are as follows:

1. What happens to the ownership of land that is owned by a non-profit corporation when its Articles of Incorporation are cancelled for failure to file a statement of continued existence;
2. Was any action filed in the Knox County Common Pleas Court pursuant to R.C. 1702.50;
3. Who does the Knox County Auditor show as owning the parcels of land on which the dam and lake are located;
4. Could any party to this litigation file an action under R.C. 1702.50 directing the Common Pleas Court to determine what happens to the assets that were owned by the Association at the time its Articles were cancelled; and
5. If such an action was filed, would the Knox County Common Pleas Court have the power to order the title to the land transferred to a governmental body or to another non-profit corporation.

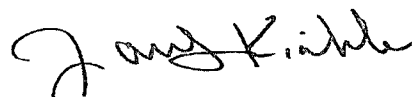
This Court does is not stating that the issues set forth above are the only issues that may be raised by the parties regarding the effect of the cancellation of the Articles of the Association. It is only saying that these issues are the issues seen by the Court. The parties are, of course, permitted to address other issues that they see as being raised.



The Court also believes that the parties might be in a position to agree on a stipulated set of facts or law that could be provided to the Court. If such a stipulation is feasible, the Court would appreciate the parties entering into such stipulations.

Therefore, this Court is ordering the parties who have either filed motions for summary judgment or who have replied to such motions to file memorandums by March 26, 2024, addressing this issue. Copies should be provided to the Court by sending them to the following email address, [retiredjudgekimbler@gmail.com](mailto:retiredjudgekimbler@gmail.com), as well as filing them with the Knox County Clerk of Courts.

**So Ordered.**



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**Judge James L. Kimbler,  
Retired.**

CC:

All parties and/or  
counsel of record